
SOUTHERN CROSS STRATEGIC HOLDINGS PTE LIMITED

Protecting People. Securing Progress.

Kikori Development Project | Papua LNG Corridor | Gulf Province, Papua New Guinea

AUDIT POLICY

Independent Assurance of Security Operations

Document No. SCSH-AQAC-AUD-001 Version 2.0 Effective 1 August 2026

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1. Document Control

Policy Title	Audit Policy
Document Number	SCSH-AQAC-AUD-001
Version	2.0
Status	Approved — Controlled Document
Classification	Confidential — Internal Use Only
Effective Date	1 August 2026
Next Review Date	31 July 2027
Policy Owner	Manager — Audit, Quality Assurance & Compliance (AQAC)
Approving Authority	Chief Executive Officer / Managing Director
Applies To	All employees, contractors and subcontractors of the Company
Related Documents	Quality Assurance Policy (SCSH-AQAC-QA-001); Compliance Policy (SCSH-AQAC-COM-001); Zero-Tolerance Conduct, Ethics & Prohibited Behaviour Policy (SCSH-HR-GOV-001); applicable operational SOPs
Supersedes	AQAC Team Policy, Version 1.0 (2025)

Revision History

Version	Date	Summary of Change	Author
1.0	2025	Original AQAC Team Policy (combined audit, quality and compliance).	AQAC Manager
2.0	1 Aug 2026	Reissued as a stand-alone Audit Policy; scope, methodology and reporting expanded; operating context aligned to the Papua LNG Q4-2026 FID pathway; human-rights assurance, data protection, non-retaliation and performance-measurement provisions added.	AQAC Manager

2. Purpose

This policy establishes the mandate, structure, methodology and reporting requirements of the internal audit function delivered by the Audit, Quality Assurance & Compliance (AQAC) Team. It provides independent, evidence-based assurance that security operations at the Kikori Development Project are conducted in full accordance with the Company's policies, Standard Operating Procedures (SOPs) and Code of Conduct, the contractual requirements of the Papua LNG project, and applicable Papua New Guinea law.

The audit function exists to prevent, detect and mitigate operational risk; to verify that controls are designed and operating as intended; to safeguard people, assets and reputation; and to drive continuous improvement across all security operations. It gives Executive Management, and through them the client, lenders and regulators, a reliable and objective picture of operational performance, compliance and risk.

3. Scope

This policy applies to:

- all employees, contractors and subcontractors of the Company;
- all operational sites and assets within the Kikori Development Project and the wider Papua LNG corridor to which the Company is deployed; and
- all security activities, including static guarding, mobile and foot patrols, access control, CCTV and Operations-Room (C2) monitoring, incident management, K9 operations, maritime and riverine (Sea Marshal) operations, Private Security Details (PSD), Quick Response Team (QRT) tasking, border and lands security, asset and cargo protection, emergency response and community engagement.

No site, function, contractor or activity within the Company's security operations is exempt from audit. Where operations are delivered through subcontractors, their performance and compliance remain within the scope of this policy.

4. Definitions

Term	Meaning
Audit	A systematic, independent and documented examination of records, activities and conditions against defined criteria to determine conformity and effectiveness.
Audit Criteria	The policies, SOPs, contractual requirements, standards and legal obligations against which conformity is assessed.
Auditee	The site, department, function or individual subject to audit.
Finding	The result of evaluating audit evidence against the audit criteria, classified as Critical, Major or Minor.
Objective Evidence	Verifiable data, records, observations or statements of fact that support a finding.
CAIP	Corrective Action & Improvement Plan — the documented plan to close a finding, with assigned owners and target dates.
NCN	Non-Compliance Notice — a formal record raising a Major or Critical finding for corrective action.
VPSHR	Voluntary Principles on Security and Human Rights — the international framework governing the conduct of security providers on extractive projects.
KDP	Kikori Development Project — the Company's area of security operations within the Papua LNG corridor, Gulf Province, PNG.

5. Operating Context

Southern Cross Strategic Holdings Pte Limited ("the Company", "SCSH") provides integrated security services across the Kikori Development Project ("KDP") within the Papua LNG corridor in the Gulf Province of Papua New Guinea. The Papua LNG project is operated by TotalEnergies EP PNG on behalf of a joint-venture consortium — comprising TotalEnergies, ExxonMobil, Santos and JX Nippon, with the Independent State of Papua New Guinea holding a back-in right — and will develop the Elk-Antelope gas fields, connecting them by pipeline to new liquefaction trains constructed adjacent to the existing PNG LNG facility.

As at the effective date of this policy, the project is advancing towards a Final Investment Decision (FID) targeted for the fourth quarter of 2026, having secured key regulatory approvals. The State-led Development Forum with landowners and the Gulf and Central Provincial Governments commenced in July 2026 to finalise the benefit-sharing and consultation agreements required before construction mobilisation. As the project

transitions from pre-FID engineering towards construction, security demand, personnel numbers, subcontractor activity and community interface will all increase.

This rising activity elevates operational risk and sharpens the obligation to demonstrate assurance, quality and compliance to the client, to project lenders and to regulators. Accordingly, this policy is written to align with:

- the security, quality and contractual requirements of the Papua LNG project and the KDP;
- Papua New Guinea legislation and regulatory frameworks governing private security, employment, firearms, occupational health and safety, and the environment;
- internationally recognised standards applied to the project, including the Voluntary Principles on Security and Human Rights (VPSHR), the Equator Principles and the IFC Performance Standards; and
- the Company's own policies, Standard Operating Procedures, Code of Conduct and Christian corporate values.

6. Policy Statement

The Company is committed to delivering professional, compliant, safe and ethical security services. The audit function operates independently of operational teams to assure objectivity, transparency and accountability, and provides Executive Management with a reliable, evidence-based picture of operational performance and risk.

The Company will maintain a documented, risk-based audit programme; act promptly and fairly on every finding; protect the confidentiality of audit evidence; and treat audit not as a fault-finding exercise but as a disciplined instrument of assurance, learning and continuous improvement. Consistent with the Company's values, the audit function upholds integrity, honesty, stewardship and respect for the dignity and rights of every person affected by its operations.

7. Governance, Independence & Responsibilities

This policy is administered by the AQAC Team, which operates independently of line operations to preserve objectivity, transparency and accountability.

7.1 AQAC Team Composition

- **AQAC Manager** — team lead; reports directly to Executive Management and owns the audit programme.
- **Quality Assurance Officer** — responsible for SOP and service-quality performance checks.
- **Compliance Officer** — ensures policy, contractual, human-rights and legal compliance.
- **Internal Auditor(s)** — plans and conducts scheduled, risk-based and unannounced audits.
- **Documentation & Reporting Officer** — maintains the audit register, working papers, evidence, registers and reports.

7.2 Independence Safeguards

- The AQAC Team must not be directed or influenced by the site operations it reviews.
- All findings are reported directly and without filtering to Executive Management.
- Operational managers may provide clarification and context but cannot overrule, suppress or amend AQAC findings or ratings.
- AQAC personnel must declare, and stand aside from, any matter in which they have a personal or operational conflict of interest.

- No auditor may audit an activity for which they held operational responsibility within the preceding twelve (12) months.

7.3 Roles & Reporting Lines

Within the audit function, the Internal Auditor(s) plan and execute audits under the direction of the AQAC Manager, and the Documentation & Reporting Officer maintains the audit register, working papers and evidence. The AQAC Manager reports the results of the audit programme directly to the Chief Executive Officer / Managing Director. Operational and project managers are responsible for cooperating with audits, providing access to sites, people and records, and closing corrective actions within agreed timeframes.

8. Audit Programme

8.1 Audit Types & Frequency

Audit Type	Frequency	Focus
Operational site audit	Monthly	Guard-force performance and controls at each KDP site.
Company-wide audit	Quarterly	Cross-functional review of the whole security operation.
Unannounced (surprise) inspection	At any time	Verification of real-time compliance, alertness and post discipline.
Risk-based / thematic audit	Per annual plan	Focused review of a high-risk theme (e.g. use of force, armoury, subcontractors, VPSHR).
Special / for-cause audit	As required	Triggered by an incident, complaint, grievance or intelligence indicator.

8.2 Annual Risk-Based Audit Plan

An annual, risk-based audit plan is prepared by the AQAC Manager and approved by Executive Management. The plan allocates audit effort in proportion to assessed risk, giving priority to high-consequence activities such as use of force, firearms and armoury, PSD, QRT and maritime operations, and human-rights-sensitive community interfaces. The plan is reviewed each quarter and adjusted as the Papua LNG project moves toward construction mobilisation and the risk profile changes.

8.3 Audit Universe

The following areas are subject to audit:

- Guard-force performance, competency and post discipline
- Attendance, roster and shift-handover compliance
- Access-control operations and gate management
- Patrol logs, occurrence books and incident logs
- CCTV and Operations-Room (C2) operations
- K9 operations (where applicable)
- Maritime / riverine (Sea Marshal) operations
- Border and lands security operations
- Private Security Details (PSD) and Quick Response Team (QRT) tasking
- Asset, cargo and infrastructure protection
- Vehicle, vessel and equipment usage and serviceability

- Firearms and armoury compliance, where authorised under Papua New Guinea law
- Use of force and human-rights conduct (VPSHR)
- Community engagement, grievance handling and incident reporting
- Subcontractor performance and compliance

9. Audit Methodology

9.1 Preparation

- Review previous audit reports, open findings and relevant incident records.
- Confirm the audit scope, criteria and schedule, and notify the auditee (except for unannounced inspections).
- Prepare audit tools — checklists, sampling plans, forms and templates.

9.2 Execution

- Conduct field inspections and direct observation of posts by day and by night.
- Interview guards, supervisors and managers.
- Examine reports, logs, registers, licences and supporting documents, and gather objective evidence.

9.3 Evaluation

- Compare evidence against the audit criteria and identify gaps and non-conformances.
- Classify each finding as Critical, Major or Minor and establish root cause.

9.4 Reporting

- Prepare an audit findings report within forty-eight (48) hours of completing fieldwork.
- Submit the report to Executive Management and Project Management, and record it in the audit register.

9.5 Follow-up

- Agree a Corrective Action & Improvement Plan (CAIP) with the auditee.
- Conduct a follow-up audit within fourteen (14) days to confirm closure of corrective actions.
- Escalate any finding that remains open beyond its due date.

10. Classification of Findings

Category	Definition	Required Response
Critical	An immediate threat to life, safety, security of the asset, or a serious breach of law, human rights or client contractual conditions.	Immediate intervention and containment; notify Executive Management and Project Management without delay; corrective action commenced the same day.
Major	Repeated breaches, systemic weakness, or an issue causing material operational disruption or reputational exposure.	Formal Non-Compliance Notice (NCN) issued; Corrective Action & Improvement Plan (CAIP) required within five (5) working days.
Minor	Isolated deviation from an SOP or standard with limited operational impact.	Documented and corrected at site level; verified at the next scheduled review.

11. Reporting Requirements

11.1 Report Suite

The audit function produces the following reports:

- Monthly Audit Report (per site and consolidated);
- Quarterly Company-Wide Audit Report;
- Surprise Inspection Reports;
- Non-Compliance Notices (NCNs) and Corrective Action & Improvement Plans (CAIPs); and
- an Open-Findings Register showing the status and ageing of all corrective actions.

11.2 Distribution

Reports are distributed to the CEO / Managing Director, the Operations Manager and the Kikori Project Manager, and — where relevant — to the HR Manager (personnel matters) and the Training Manager (training gaps). Reports classified Confidential are released only to authorised recipients and are handled in accordance with Section 14.

11.3 Escalation Procedure

- The AQAC Team identifies and records the issue with supporting evidence.
- The issue is formally reported to Executive Management with a recommended classification.
- Corrective measures are assigned to a responsible owner with a due date.
- Follow-up verification confirms whether the corrective action has closed the finding.
- Where non-compliance persists or recurs, the matter is referred for disciplinary or contractual action in accordance with Company policy.

12. Human-Rights & International-Standards Assurance

Because the Company operates on an internationally financed extractive project, the audit function provides specific assurance over conduct that carries human-rights and reputational risk. In every relevant audit the AQAC Team will assess compliance with the Voluntary Principles on Security and Human Rights (VPSHR), the IFC Performance Standards and the Equator Principles as applied to the Papua LNG project.

Particular attention is given to:

- proportionate and lawful use of force, and the accurate recording of any use-of-force incident;
- the conduct of interactions with landowners, communities and vulnerable persons;
- the functioning of the community grievance mechanism and the timely, fair handling of complaints;
- firearms authorisation, storage and accountability under Papua New Guinea law; and
- the human-rights screening and conduct of subcontracted security personnel.

Any credible indication of a human-rights breach is treated as a Critical finding and reported to Executive Management without delay.

13. Auditor Competency & Ethics

- Auditors must be trained, competent and independent of the activity being audited.
- Auditors must maintain confidentiality, act with integrity and impartiality, and avoid conflicts of interest.

- Audit conclusions must rest on objective evidence, not opinion or influence.
- Auditors must conduct themselves with courtesy and respect toward auditees, communities and stakeholders at all times.

14. Records, Confidentiality & Data Protection

- The AQAC Team maintains a master file of audit plans, working papers, checklists, findings and reports.
- Records are retained securely in both digital and hardcopy form for a minimum of five (5) years, or longer where required by contract or law, and are made available to the client and regulators on lawful request.
- Audit evidence and reports are classified Confidential and are accessible only to authorised personnel on a need-to-know basis.
- Personal data and CCTV material gathered during audits are handled lawfully, stored securely and used only for the purposes of the audit.
- All template and policy revisions must be approved by Executive Management before use.

15. Non-Retaliation & Cooperation

The integrity of the audit function depends on candid cooperation. All personnel are required to cooperate fully with audits and to provide truthful, complete information. Obstructing an audit, withholding or falsifying evidence, or attempting to influence a finding is a serious disciplinary matter.

No employee, contractor or community member will suffer retaliation of any kind for cooperating with an audit, raising a concern in good faith, or reporting suspected non-compliance or misconduct. Reports may be made through the AQAC Team or the channels set out in the Company's Zero-Tolerance Conduct, Ethics & Prohibited Behaviour Policy, and confidentiality will be protected so far as the law allows.

16. Audit Performance & Continuous Improvement

The AQAC Manager monitors the effectiveness of the audit programme and reports performance to Executive Management each quarter. Indicators include:

- completion of the approved audit plan against schedule;
- the number, classification and root-cause trends of findings;
- on-time closure of corrective actions and the ageing of open findings; and
- recurrence of previously closed findings.

Trends and lessons learned are fed back into the risk-based audit plan, SOPs and training so that the programme continuously strengthens the Company's controls.

17. Policy Review

This policy shall be reviewed at least annually, and earlier where any of the following occurs:

- a change in the Company's operational structure or contractual scope;
- a change in Papua LNG or KDP project requirements, including movement to a positive FID and construction mobilisation;
- a change in the Papua New Guinea regulatory environment;
- the emergence of a new or elevated security, safety, human-rights or environmental risk; or

- a directive from Executive Management or the client.

18. Authorisation

This policy is issued under the authority of the Executive Management of Southern Cross Strategic Holdings Pte Limited and is a controlled document. Amendments are valid only when approved by the Approving Authority and re-issued through the AQAC document-control process.

Prepared By	Reviewed By	Approved By
Manager, AQAC	Compliance Officer	CEO / Managing Director
Name: _____	Name: _____	Name: _____
Signature: _____	Signature: _____	Signature: _____
Date: _____	Date: _____	Date: _____